

THE HIDDEN COST OF STUDENT WITHDRAWALS:

Trends, Risks, and Smarter Approaches to Protecting Enrollment Revenue



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Every year, colleges and universities lose a predictable share of their students for reasons that are, themselves, predictable: financial pressure, mental health challenges, and life events that derail even the most motivated learners.

National data tells a consistent story — roughly one in three students has considered leaving their program, driven primarily by emotional stress and financial strain — a pattern [Gallup-Lumina](#) has tracked for years.¹ For institutions, it's a triple crisis involving student well-being, revenue, and operations, all at once.

To understand how higher ed finance leaders are navigating it, Higher Ed Dive's Studio ID and GradGuard surveyed 151 executives across financial aid, bursar, and student

finance services departments. The findings are both clarifying and a little unsettling: institutions largely know where the leaks are, but the gap between knowing and doing persists.

Despite good intentions, the systems meant to protect students and institutions are showing their seams. Refund policies are disclosed but not truly understood. Appeals processes exist but exhaust the staff who run them. Tuition protection programs are available at many institutions, yet often remain something students must seek out rather than something built into their path.

This report examines where the gaps are largest, what some institutions are doing differently, and how the right interventions can turn a withdrawal from an ending into a detour — with more students ultimately finding their way back.

A Growing Threat to Enrollment Revenue

Schools spend enormous resources recruiting students, yet invest comparatively little in protecting them once they're enrolled — even though losing a student costs far more than the effort required to keep them.

Among surveyed higher ed finance leaders, 85% report that between 5% and 20% of their student population withdraws each year. For a mid-sized institution enrolling 10,000 students, that translates to 500 to 2,000 departures annually. Typical refund costs run between \$2,500 and \$7,499 per withdrawal, and 41% of institutions report individual refund costs of \$7,500 or more.

In addition to refund costs, outstanding balances add another layer of potential loss to institutions: 100% of respondents say that at least some students leave with an outstanding balance, and nearly three-quarters say that figure is 26% or higher. Nearly all (93%) respondents agree that collections from those students is a growing challenge.

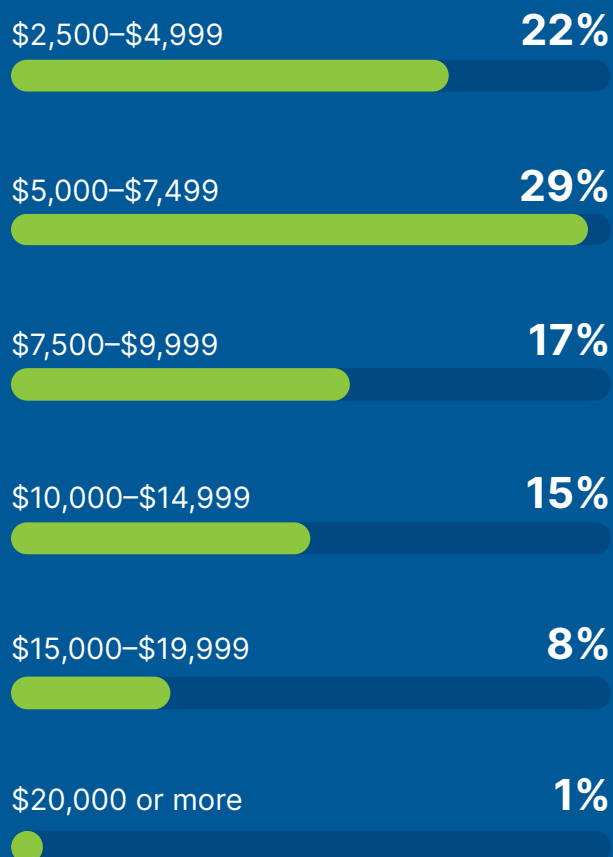
Tim Riley, Assistant Controller and Bursar at Purdue University in Indiana, knows that pressure firsthand. “Our tuition refund appeals had been growing and growing,” he said. “We saw really elevated appeals around mental health issues, which isn’t really anyone’s area of expertise outside of our student health center.” In response, Purdue set out to find a better way to protect students. “We wanted to give students and families an option to insure their investment, especially international and out-of-state students who could be paying \$20,000 per term,” Riley explained. “With that kind of investment on the line, you don’t want a student facing a crisis to withdraw while also carrying the added stress of worrying that their family’s financial investment was wasted.”

Looking ahead, surveyed leaders expect the challenge to deepen, citing growing withdrawal volumes, refund complexity, compliance risks, and budget strain over the next two to three years.

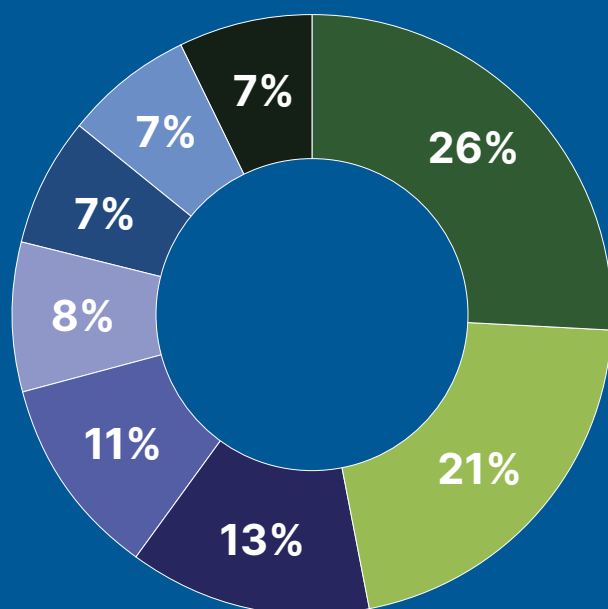


Typical refund cost to the institution, per student withdrawal

Tuition, fees, housing, meal plans



Reasons for student withdrawals



- Financial pressures
- Mental health issues
- Physical health issues
- Academic performance issues
- Loss of interest or motivation
- Family emergencies
- Lack of institutional support or sense of belonging
- Difficulty balancing school with work or family responsibilities



The First-Year Fault Line: When and Why Students Leave

The data on when students leave is consistent, which is largely a first-year problem. In fact, 73% of withdrawals occur during this period, before students ever find their footing on campus.

The reasons are predictable. Financial pressures and mental health conditions together account for nearly half of withdrawal reasons (26% and 21%, respectively), tracking closely with Gallup-Lumina research. What may be surprising is how quickly those causes are accelerating: Financial pressure-related withdrawals increased 72% year-over-year, and mental health-related withdrawals rose 46%. Seven in 10 respondents cite families' capacity to pay as a top concern for the years ahead; more than half name student mental health.

Kelsey McClure, Bursar at St. Edward's University in Texas, has navigated many of these conversations over her career. In her experience, withdrawal isn't a decision so much as a surrender — one most students hope is temporary. She sees how an institution responds in that moment as defining whether students ever return. "We can help them see withdrawal as a pause, not a stop. We have the opportunity to keep that rapport alive so they can return."

Whether they do return often depends on what happens in those first moments of crisis, and how well-prepared the institution is to meet them there.



The Awareness Gap: Disclosed, but not Understood

Institutions receiving federal financial aid are required to disclose their refund policies to both prospective and enrolled students. On paper, that disclosure looks adequate: Every surveyed institution reports doing so annually. But the details tell a different story.

Only 58% disclose within the billing process or student account portal. The majority rely on the student handbook (68%) and email (67%) — channels with notoriously low engagement and no mechanism to confirm students actually read them. As a result, just 2% of finance leaders believe students are well-informed about refund implications when they initiate a withdrawal. Sixty-one percent describe students as only “generally aware,” and 37% say students have limited or unclear understanding of refund terms. More than one in three students initiates a withdrawal without understanding their options.

McClure has seen that dynamic in practice countless times. “Students would get to us at the point of withdrawal and we’d say, ‘You’re past the refund date.’ They’d respond, “What’s a refund date?”

The solution isn't more disclosure, but better-timed, more embedded disclosure. "Having the refund disclosure and insurance options embedded in enrollment processes puts the information in front of students where they have to accept or deny it, and take a moment to understand our processes," McClure said. "It bridges the gap between just telling them something exists and getting them to actually interact with it."

At Purdue, the refund policy and insurance option surface directly in the student payment portal at billing time. "Not everybody goes out of their way to find the bursar's office on the website," Riley said. "Having that information up front, when students can see their bill, helps them make better-informed decisions." There's a secondary benefit: Embedded acknowledgement creates a documented record, so when appeals do come in, Riley can point to the exact date and time a student reviewed and accepted the refund policy terms.

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Bursar at St. Edward's University in Texas





The Administrative Burden: Appeals Processes Under Pressure

The strain on appeals processes is one of the clearest findings in the survey — and one of the least surprising to anyone who runs one. Seven in 10 respondents say that managing refund requests and appeals requires significantly or moderately more effort than it did three years ago. Sixty-eight percent describe the process as time-intensive and resource-heavy. Fifty-two percent say it makes it harder to maintain consistent policies.

The 33% who acknowledge their process can be subjective and inconsistent, representing an under appreciated equity issue. Students whose families know how to navigate institutional systems are far more likely to successfully appeal, while first-generation and underrepresented students are more likely to give up after the first “no.” An appeals process that rewards persistence is both inefficient and inequitable.

Before St. Edward’s moved to an embedded tuition protection model, the university handled close to 50 refund appeals annually. McClure describes the experience as “emotionally exhausting and unsustainable” for staff, students, and their families. “They were going through something unexpected: a death, serious injury, or job loss. Having to talk to us and provide documentation to prove that it happened was like having to experience the trauma twice,” McClure said.

The toll on staff is real. “When staff have to interact with these incredibly personal, difficult traumas, it creates what I’d call bystander trauma,” McClure added. “Balancing student support with keeping the institution running is extremely difficult to navigate without a counseling degree.”

Today, St. Edward’s rarely processes a formal appeal at all. The committee is gone, and so is the stress that came with it.

How surveyed institutions characterize their refund appeals processes

71%

More effort required now compared to three years ago

68%

Time-intensive, requiring significant staff resources

58%

They receive a large number of requests

52%

Processes create challenges in maintaining consistent financial policies

47%

Appeals committees have been effective at balancing student needs with institutional policies

33%

Decisions can be subjective and inconsistent

29%

Many appeals are approved, with refunds exceeding the stated policy

19%

The emotional nature of appeals can be difficult for staff





The Protection Gap and Opportunity: Tuition Insurance's Moment

Like Purdue and St. Edward's, 62% of surveyed institutions now offer tuition insurance in some form — close enough to two-thirds to call it an emerging industry norm. GradGuard alone works with more than 700 institutions nationwide to offer tuition insurance and renters insurance. The practice is no longer niche.

But offering tuition insurance and embedding it are two different things. Only 58% of institutions that offer tuition protection have it embedded in the enrollment or billing process. Invariably, a resource that students have to chase is one many students will never use.

Among the 38% that offer no tuition insurance at all, the top reported barriers are perceived institutional cost (67%), cross-departmental coordination requirements (58%), and concern about adding costs for students and families (49%). The experience of institutions that have embraced embedded protections doesn't bear those concerns out. At St. Edward's, the shift has meant retaining more than \$1 million annually that previously went out the door in refunds. "It allows us to put that money back into student success; the programming that students need to feel like St. Edward's is meeting them where they are," McClure said.

The impact on students is just as measurable. "We

saw a higher percentage of returners among students who had tuition insurance,” Riley said. Data from GradGuard, Purdue’s chosen insurance partner, reinforces the pattern:

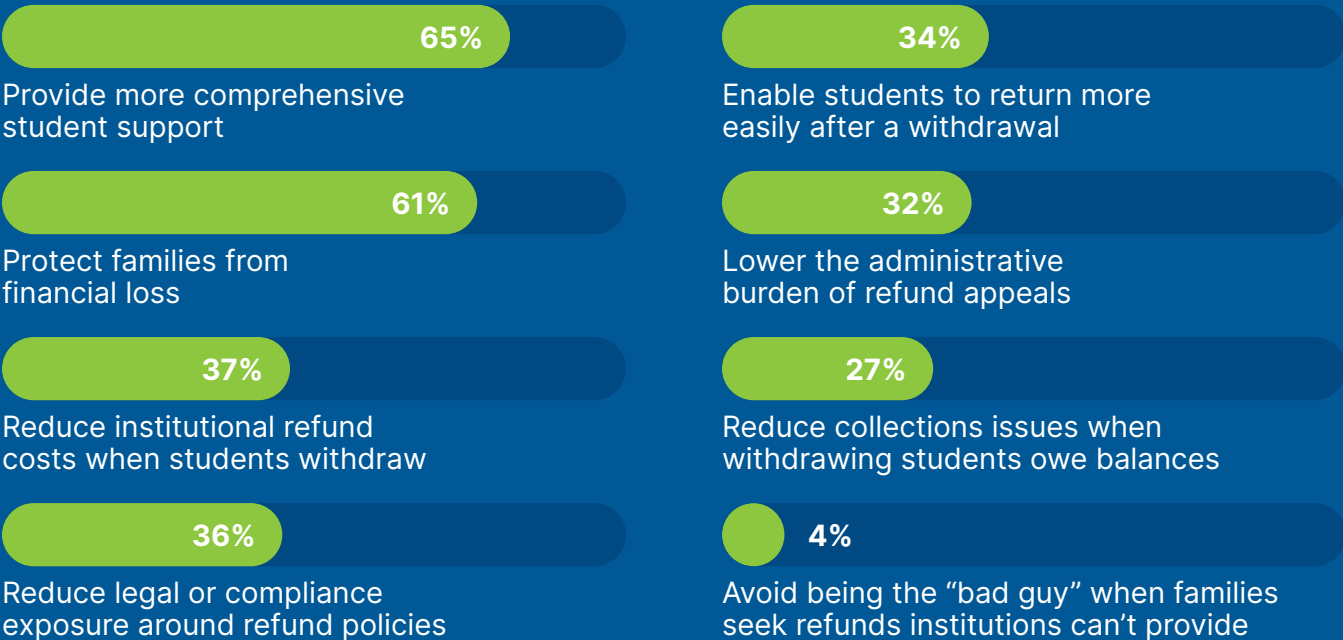
More than 75% of students who received a paid tuition claim re-enrolled or planned to re-enroll.

McClure makes the case for protection directly to families at orientation, right after walking through the tuition slide. “I say, ‘Do you see that \$25,000? Do you want some of it back if your student can’t fulfill what they set out to do here?’” she said. “Not a single person says no. When they learn how affordable insurance is compared to what’s at risk, they say, ‘Oh, yeah, we can do that.’”

When a covered student needs to withdraw, the relief is immediate and visible. “I can see the stress melt off them,” McClure said. “It relieves a burden at a moment when they’re going through something horrible.”

For peers weighing how to structure an embedded tuition insurance program, Riley’s advice is to make it opt-in. “It’s going to be a harder sell to leadership if you’re doing opt-out, because that’s putting fees on students, which we wanted to avoid,” he explained. For teams who may balk at surfacing withdrawal information at the start of a term, Riley has been there: “Our team was hesitant too. But in the end it was a non-issue. Students and parents told us they appreciate seeing it upfront.”

Reasons for offering tuition insurance to students



From Predictable Problem to Preventable Outcome

Student withdrawals aren't random. They cluster at known moments, for known reasons, and the costs — financial, human, institutional — are measurable and growing. Institutions that are getting ahead of this problem tend to share three traits:

They communicate refund policies where students actually encounter them, they've reduced their reliance on subjective appeals, and they've built financial protection into the student experience rather than leaving it to chance.

A withdrawal handled well can become a re-enrollment story, as long as institutions have the infrastructure in place to protect student investments before a crisis hits. As McClure puts it, "Students don't plan for the unexpected, but institutions have to. Embedding tuition insurance is an incredibly simple way to solve a very complex, taxing problem."



Learn how GradGuard can help protect your students and institution from financial losses.



About the survey: This report is based on a survey of 151 higher ed finance executives across financial aid, bursar, and student finance services departments, conducted by Higher Ed Dive's Studio ID in partnership with GradGuard.



GradGuard is the authority on helping schools educate and protect students from the risks of college life. As the #1 provider of college tuition and renters insurance, GradGuard's pioneering protections have served more than 1.8 million students at more than 1,900 unique institutions. GradGuard's national technology platform embeds its innovative insurance protections within the enrollment processes of more than 700 institutions in the United States, helping schools increase college completion and reduce the cost of college by covering preventable financial losses.

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